

## DEPRECIATION ON THE BALANCE SHEET

A company's accounts have to list all assets held by the company, including all fixed assets such as property and equipment. The accumulated depreciation of these fixed assets over the year is deducted from their value at the start of the year to give the year-end total. Without a depreciation figure, the accounts would give a false reflection of the finances of the business. The assets would appear as their original cost value and that might well exceed their current value.

**Fixed assets** are shown distinct from current assets

**Depreciation** of fixed assets is deducted

**Total assets** are calculated after depreciation has been deducted

**Previous year's total assets** can be compared

| COMPANY NAME                  |           | BALANCE SHEET |  |
|-------------------------------|-----------|---------------|--|
| Assets                        |           |               |  |
| Current assets:               | 2013      | 2014          |  |
| Cash                          | 17,467.00 | 8,023.00      |  |
| Investments                   | 4,853.00  | 3,367.00      |  |
| Inventories                   | 1,056.00  | 2,138.00      |  |
| Accounts receivable           | 2,165.00  | 3,600.00      |  |
| Prepaid expenses              | 3,000.00  | 3,000.00      |  |
| Other                         | 860.00    | 976.00        |  |
| Total current assets          | 29,401.00 | 21,104.00     |  |
| Fixed assets:                 | 2013      | 2014          |  |
| Property and equipment        | 64,553.00 | 58,219.00     |  |
| Building/site improvements    | 4,780.00  | 2,679.00      |  |
| Equity and other investments  | 3,789.00  | 4,587.00      |  |
| Less accumulated depreciation | 5,625.00  | 4,171.00      |  |
| Total fixed assets            | 67,497.00 | 61,314.00     |  |
| Other assets:                 | 2013      | 2014          |  |
| Goodwill                      | 1,577.00  | 1,650.00      |  |
| Total other assets            | 1,577.00  | 1,650.00      |  |
| Total assets                  |           |               |  |
|                               | 98,475.00 | 84,068.00     |  |



### Units of production method

When a company uses an asset to produce quantifiable units, such as pages printed by a photocopier, it can claim depreciation with this method, which calculates depreciation according to the number of units an asset produces in a year.

**(PURCHASE VALUE - SCRAP VALUE)**

$$\left( \frac{\text{UNITS PRODUCED PER YEAR}}{\text{LIFETIME PRODUCTION}} \right) \times \text{DEPRECIATION (PER UNIT)}$$

**When to use it** This method is typically used by factories to calculate depreciation on machines that produce units of goods.



### Hours of service method

The asset's decline in value is measured according to the number of actual hours it is in use. To calculate depreciation using this method, the company measures the hours of use per year as a percentage of the estimated total lifetime hours. It is particularly useful for transportation industries.

**(PURCHASE VALUE - SCRAP VALUE)**

$$\left( \frac{\text{HOURS USED PER YEAR}}{\text{LIFETIME HOURS}} \right) \times \text{DEPRECIATION (PER HOUR)}$$

**When to use it** This method may be used to match an airplane's flying hours with the revenue generated from those hours.